

Seed funding of MSMEs/ startups in partnership with incubators

SIDBI has partnered with the leading incubation centres in the country to support seed stage IP driven/product startups important for India@2047 which are unable to attract commercial VC investment due to longer gestation for product innovation / refinement/ market acceptance etc.

Key Features

- Partnership with leading incubators for channelising SIDBI's institutional seed capital to startups through a pre decided structured evaluation process.
- Funding by way of commercial investment capital.
- Co-investment by incubators for their buy-in and capacity building.

Focus Sectors

- Focus shall be on supporting “hardware based startups”, new and meritorious ideas, innovations and technologies important for India's goals for 2047 / which shall help India become self-reliant as well as a dominant player in high quality / high entry barrier products / services.
- Specific sectors could be technology, deep tech, energy – generation and efficiency/ alternate energy / clean tech, pharmaceuticals, biotech, defence innovations, supply base for high quality tech components, chips and other R&D driven startups.

Benefits for Incubators

- Availability of institutional seed fund will attract quality startups/ talent.
- Incentive mechanism for strengthening capabilities of partner incubators.

Benefits to Startups

- Availability of patient institutional seed money in the form of equity investment – equity recognizes potential of startup/ value of work put in by startup founder.
- Name of SIDBI / seed fund as an investor on startups' cap table will catalyse investments from other sources and provide a validation of valuation – this will help startups navigate valley of death normally faced at this stage.
- Startups can get connected to the SIDBI Fund of Funds ecosystem wherein there are good number of early-stage fund managers.
